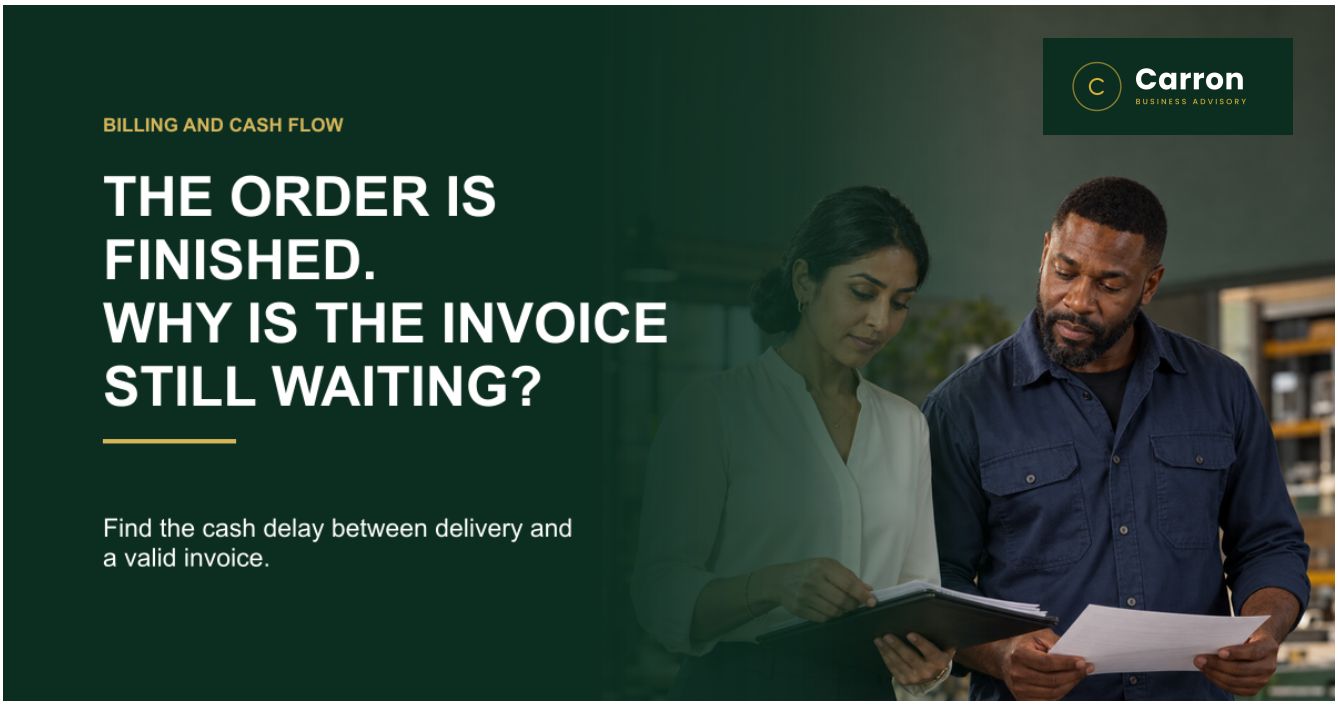


EDUCATIONAL SME BUSINESS REPORT

Executive Summary

The workshop says the order is complete. The goods have gone, the job has been signed off or the service has been delivered. Yet finance cannot send the invoice because a purchase-order number, delivery record or customer acceptance is missing.

This work can be invisible in an overdue-debtors review: there may be no invoice to age or chase. The business has already committed resources, but the cash process has not reached the point from which the customer's payment arrangements can operate.

A completed-to-invoiced review identifies the gap. It is a management control, not an instruction to bill before the business is entitled to do so. Confirm the agreed billing event, collect the required evidence and assign an owner to each exception.

DECISION PRINCIPLE

Completion is an operational event. A billable, accepted invoice needs a controlled handover.

REPORT INDEX

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Find the cash delay between delivery and a valid invoice.

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MAIN ARTICLE

1. Add a queue that the debtors report cannot show

An aged-debtors report normally starts from recorded invoices. Work that has not yet been invoiced may sit in job sheets, delivery records, project files or work-in-progress reports instead. Reviewing only overdue invoices can therefore miss an earlier cash delay.

Ask for a list of delivered goods and completed work that has not passed the agreed billing checkpoint. Record the completion date, expected billing event, value, evidence required, blocker and person responsible. Do not assume every completed job is immediately billable.

Separate operationally complete, contractually billable, invoiced, accepted into the customer's process and paid. These states can occur on different dates. A customer portal rejection after invoice creation is a different problem from a missing delivery note before it.

This is particularly useful when planning the next few weeks of cash. Software may help send and track invoices, but it cannot invent the purchase-order reference or acceptance evidence that the transaction requires. Resolve the handover rather than treating automation as a substitute for complete records.

2. Measure the delay before blaming payment terms

Consider an illustrative service order worth R180,000, excluding VAT. Delivery and the agreed billing conditions are complete on day 1, but the invoice is not submitted until day 13. Assume the customer then pays exactly thirty days after receipt of a valid invoice.

The expected receipt moves from day 31 to day 43: a twelve-day difference caused by the billing delay under these assumptions. The customer's thirty-day period has not changed. The business has added twelve days before that period can begin.

If an otherwise available facility charges 14% simple annual interest, funding R180,000 for twelve extra days would cost about R828 before fees. That calculation is illustrative. The real funded amount may be lower, higher or zero, depending on the cash already spent, deposits and the bank position.

Do not multiply invoice value by a rate and call the result the business's actual loss without checking the cash exposure. The invoice value is a useful timing measure; the financing cost belongs to the cash gap actually funded. Customer terms, cut-off dates and acceptance requirements also need transaction-specific verification.

MAIN ARTICLE

Worked illustration: the section 2 comparison

Illustrative checkpoint	Prompt handover	Delayed handover
Billable conditions complete	Day 1	Day 1
Valid invoice received	Day 1	Day 13
Receipt, assumed 30 days later	Day 31	Day 43
Additional delay	-	12 days

Illustration only. Read the calculation with the assumptions in section 2.

3. Find the missing evidence at the source

Typical blockers to investigate include an incorrect purchase-order number, unsigned proof of delivery, incomplete time records, a missing acceptance document, disputed extra work or an invoice sent to the wrong customer channel. These are examples, not a claim about every SME.

For each blocker, ask when the missing information could first have been collected. A customer reference known when the order was accepted should not be discovered as missing after delivery. A signed handover belongs to the delivery process if the agreed billing condition requires it.

Create a short billing-readiness check before accepting an order: who is billed, how the invoice must be submitted, what evidence is required, who confirms completion and who deals with an exception. Confirm the requirement with the customer rather than guessing from the last job.

Keep disputed scope separate from administrative omissions. Sending an invoice faster does not resolve whether extra work was agreed or whether a milestone has been met. Obtain appropriate legal or accounting advice when entitlement, recognition or tax timing is uncertain.

4. Give each exception an owner and a next action

Finance cannot solve every delivery or scope issue alone. The person closest to the missing evidence should own obtaining it, while finance checks that the resulting invoice is complete and correctly submitted. Name the owner of the exception rather than writing 'with operations'.

A useful exception record says: what is missing, who will obtain it, the next action date and what happens if it is not resolved. Record when the customer receives a valid invoice and, where relevant, when a portal or accounts-payable team accepts it.

Escalate old exceptions on the basis of their value and cash consequence. A very large blocked invoice can matter more than many small items. A recurring low-value blocker can still signal a poor process that deserves redesign.

Avoid arbitrary promises that every invoice will be issued within a fixed number of hours. Set a sensible internal target based on the billing conditions and workflow, then distinguish unavoidable customer approval from avoidable internal delay. A clear reason is more useful than a misleading green status.

5. Put billable work into the cash forecast carefully

Show the expected billing date and expected payment date separately. If the invoice is still waiting for an uncertain approval, make that uncertainty visible in the receipt forecast. Do not quietly assume it clears tomorrow because the forecast needs the cash.

Build a downside case for the material exceptions. What happens if acceptance slips another week or the customer's next payment run is missed? Identify the obligation affected and the action available before the shortfall arrives.

Reconcile the list with recorded invoices so the same receipt is not counted twice. If a job moves from unbilled work to invoiced debtors, transfer the forecast item rather than adding a second expected receipt. Keep deposits and partial invoices visible.

This management schedule does not decide how revenue or work in progress belongs in the financial statements. Accounting recognition, VAT timing and contractual billing rights are separate questions for qualified advisers using the actual agreement and facts. Better visibility must not become premature or duplicate billing.

MAIN ARTICLE

6. Review the handover every week

Use a short weekly review of the material completed-but-not-invoiced items, rejected invoices and missing approvals. Start with old or large exceptions. End with named actions and dates, not a general instruction to 'invoice faster'.

Track time from the agreed billable event to valid invoice submission, the value still blocked and the recurring reasons. These are internal management measures, not universal performance benchmarks. Use them to find the process change that prevents the delay.

Owner questions: Which completed orders are waiting? Are their billing conditions actually met? What evidence is missing? Who can obtain it? Is the cash forecast using a credible date? Does the same customer or process create the same exception repeatedly?

Check whether the improvement lasts across the next few order cycles. If finance repeatedly rescues missing delivery evidence, the business has a collection habit rather than a reliable handover. Move the control to where the information is created.

Closing perspective

The customer may be slow to pay. But first check whether the business has made it possible to pay. A completed job, a valid invoice and cash in the bank are different checkpoints. Making the gap visible helps management recover time before spending more effort on collections. The best improvement is a complete, accurate handover that happens without a last-minute rescue.

Related reading

Your Management Accounts Arrived. Now What?

The 13-Week Cash Flow Forecast Every SME Should Run

Our full-length articles and downloadable PDF reports are available on the Carron Business Advisory Insights page:

https://www.carron.co.za/insights

Advice notice

General business and financial education only. Examples are illustrative, not benchmarks. This report does not provide HR, labour-law, legal or personalised tax advice. Obtain appropriate professional advice for contractual, tax, accounting, technical and facility-specific decisions.

PRACTICAL TOOL

Completed-to-Invoiced Exception Register

Use this record before approval. Add actual results and the review decision afterwards.

Field	Record for each material exception
Job and customer	Order reference, customer and value on consistent VAT basis Record: _____
Completion and billing event	Operational date and verified billable condition Record: _____
Required evidence	PO, delivery, acceptance or agreed scope evidence Record: _____
Blocker and owner	Specific omission/dispute and named responsible person Record: _____
Action and due date	Next action, resolution date and escalation Record: _____
Submission and acceptance	Invoice reference, customer receipt and portal acceptance Record: _____
Cash forecast	Expected receipt, downside date and no duplicate counting Record: _____

Use verified company inputs. This management record does not replace specialist advice or the underlying source records.